



FINANCING GUIDE / 03

Commercial Real Estate Financing

A practical guide to financing the purchase, refinance, or repositioning of commercial and investment real estate.

Commercial real estate financing is not one product. Owner-occupied properties, stabilized investment properties, transitional assets, multifamily, mixed-use, and bridge transactions can be underwritten under very different programs.

FLS evaluates the property, borrower or sponsor, cash flow, leverage, occupancy, use of proceeds, and exit strategy before determining which financing path may be appropriate.

Common use cases

- Purchase an owner-occupied business property
- Acquire a stabilized investment property
- Refinance existing commercial debt
- Access equity through an eligible cash-out refinance
- Bridge a transitional or time-sensitive property transaction
- Finance small-balance commercial, mixed-use, or multifamily assets

HOW LENDERS LOOK AT IT

What typically drives the financing decision

Property and occupancy

Property type, condition, tenant mix, occupancy, owner-use percentage, location, and marketability can affect program selection.

Leverage

Purchase price, current value, requested loan amount, existing debt, and borrower equity determine LTV/LTC and can materially affect terms.

Property cash flow

For income-producing assets, lenders may evaluate NOI, rents, expenses, DSCR, lease terms, and tenant concentration.

Sponsor profile

Experience, credit, liquidity, net worth, track record, and exit strategy may be important, particularly for bridge or transitional assets.

PREPARING YOUR REQUEST

What to have ready

Requirements vary by program, but a complete and organized package helps FLS identify the right path and reduces unnecessary back-and-forth.

Property package

Purchase contract or payoff statement, property details, rent roll, leases, trailing operating statements, and current photos when applicable.

Borrower / sponsor

Application, entity documents, ownership schedule, personal financial statement, liquidity verification, and experience information.

Third-party items

Appraisal, environmental review, title, insurance, inspections, and other reports are typically ordered or required later depending on program.

PROCESS

From request to funding

1 Identify the transaction

Identify owner-occupied vs. investment use and the transaction type.

2 Review the request

Review value, requested leverage, property cash flow, sponsor strength, and timeline.

3 Match the program

Match the transaction to SBA, stabilized CRE, bridge, DSCR, or other appropriate programs.

4 Lender underwriting

Complete lender underwriting and required third-party reports.

5 Closing & funding

Satisfy closing conditions and fund if approved.

WHAT CAN STRENGTHEN THE REQUEST?

Lower leverage, strong property cash flow, experienced sponsorship, adequate liquidity, clean title/ownership, stable occupancy, and a credible exit strategy can improve a CRE request.

Find the right commercial real estate financing path

FLS Capital Advisors works across multiple financing sources rather than forcing every request into one program. Answer a few questions about your business and financing objective, and a specialist will review the paths that may fit.

flscapitaladvisors.com/start Talk with a specialist: flscapitaladvisors.com/contact

General information only. This guide is intended for educational purposes and does not constitute an approval, commitment to lend, or guarantee of financing. Programs, eligibility, rates, fees, terms, collateral requirements, and documentation requirements vary by funding source and may change. Final eligibility and terms are determined by the applicable funding source after review of a complete application.